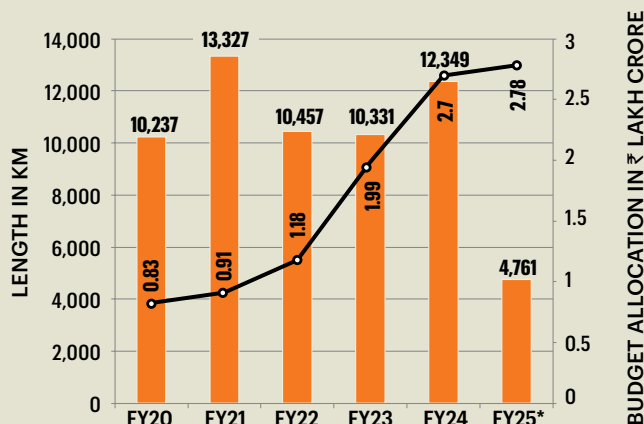


HIGHWAY GROWTH STORY

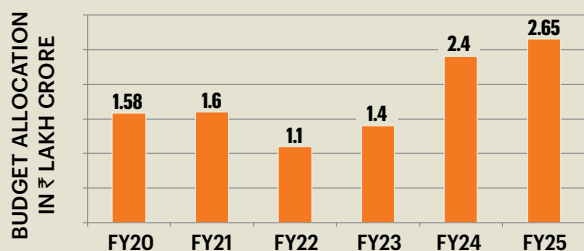
- Budgetary support for highways is on the rise
- But there was a dip in the pace of construction



* TILL NOV 30 THE TARGET IS 10,400 KM
SOURCE BUDGET DOCUMENTS

TRACK RECORD

- Budget allocation for the Railways has increased in a bid to modernise the network



SOURCE UNION BUDGET DOCUMENTS

ENHANCING RAIL INFRASTRUCTURE

- 1 3,433 km of track commissioned from April to December 2024
- 2 3,210 route km has been electrified during calendar year 2024
- 3 6,450 km of complete track renewal achieved by Indian Railways
- 4 1,198 stations have seen work commence under Amrit Bharat Station Scheme
- 5 10,000 locos are being equipped with Kavach safety technology

RAILWAYS

Among the transport sectors, the Indian Railways, perhaps, requires the most attention. The fourth largest railway network in the world—which ferries nearly 19 million passengers every day—has faced significant criticism in recent years.

The criticism is that the Railways has been focussing more on premium services such as the Vande Bharat trains than on non-AC services. The government plans to introduce the flagship Vande Bharat trains on long-distance routes, too. Official numbers show that the Railways introduced 62 Vande Bharat services in 2024 while it introduced only two completely non-AC Amrit Bharat trains.

More non-AC trains are planned to be rolled out with modern amenities such as CCTV cameras, a passenger information system, aesthetically pleasing and ergonomically designed seats and berths, improved luggage racks, enhanced LED lighting, and additional charging sockets.

Vivek Lohia, Managing Director of rail wagon manufacturer Jupiter Wagons Ltd, says transformative investments in infrastructure are essential. “Projected investments of \$200–250 billion in high-speed rail, freight corridors, and modernisation need to be realised to enhance connectivity, reduce logistics costs, and position India as a global economic powerhouse,” Lohia tells *BT*.

Safety is expected to remain a priority as the Railways upgrades infrastructure like tracks and signalling systems and implements automatic train protection systems.

Lohia says there is a need to expand funding for the Rashtriya Rail Sanraksha Kosh to improve safety measures. “Prioritise the development of economic railway corridors under the Gati Shakti Mission to optimise freight movement, reduce logistics costs, and support industrial productivity. Encourage greater private sector involvement through policies like the Liberalised Special Freight Train Operations and wagon leasing schemes,” he adds.

In terms of revenue, growth in freight earnings remains a concern for the Railways. The Railways earned the highest-ever revenues of around ₹2.6 lakh crore in FY24 from freight and passenger ticket sales, with freight contributing 67.5%.

However, freight loading on the Railways registered sluggish growth during the first nine months of 2024. Can some measures give it a boost?